

CIMA STRATEGIC CASE STUDY

MOCK EXAM 2

FEBRUARY 2025 CLASS



Task 1

You receive the following email from Martin Jacobs, Chief Finance Officer (CFO).

From: Martin Jacobs, CFO
To: Senior Finance Manager (SFM)
Subject: Internal control compliance

Hi SFM,

Please find attached the executive summary of an internal audit report regarding unauthorised access to our lithium extraction data and systems. I was aware of the social engineering phenomenon, but I am shocked that it could work so effectively against us.

Most, if not all, of our staff have access to data that is potentially sensitive. I would like you to respond to this email with your opinion.

I need your input on the following:

- Firstly, **recommend tests** that Rotomyne's Internal Audit department might use to check that staff are complying with those controls.

[Sub task (a) – 35%]

- Secondly, **evaluate the argument** that any staff member who is found by our Internal Audit department to have been in breach of controls **should be disciplined**.

[Sub task (b) – 30%]

- Thirdly, **recommend responses to the threats** arising from poor governance that may have contributed to this incident.

[Sub task (c) – 35%]

Regards,
Martin

Reference Material:

Executive Summary of Internal Audit Report

Title: Unauthorised Access to Lithium Extraction Data and Systems

An internal audit team discovered unauthorised access to Rotomyne's lithium extraction data and systems. This was found to be based on a social engineering attack. A criminal investigation by the Porrrland Police Service resulted in the arrest of the perpetrator. The Police investigation revealed that the perpetrator had accessed sensitive data through the use of a simple social engineering deception.

The perpetrator repeatedly contacted Rotomyne's head office using publicly available contact information. The perpetrator spoke to several employees, most of whom provided only limited information before becoming suspicious and terminating the call.

However, after several attempts, the perpetrator was able to convince one of our employees that he was an IT specialist from a trusted partner and that he required access to our systems for maintenance purposes. The employee then provided the perpetrator with the details required to access the systems, including the username and password used by the engineering team.

The security breach has been addressed by changing all access credentials and enhancing system security protocols.

Task 2

You received the following email from the CFO.

From: Martin Jacobs, CFO

To: Senior Finance Manager (SFM)

Subject: Political risks, JV governance and sustainability training

Hi SFM,

Thanks for the work on the proposal and government relations. We are inexperienced with the direct lithium extraction (DLE) method, and Dryland is unfamiliar to us. Our Board is also busy, so a joint venture (JV) with a more experienced company may help us. I'd suggest a 50:50 JV split of control, costs and profit. To effectively manage our strategic risks, the JV needs good governance. (N.B. Porlland's Corporate Governance Code mirrors the UK Corporate Governance Code.)

- Could you discuss the JV's corporate governance requirements regarding non-executive directors and committees and how to fulfil such requirements?

[Sub task (3a) – 60%]

Also, it might be prudent to enter a JV specifically with a Drylandian company. This may improve our chances of securing and keeping hold of the DLE licence, especially since Dryland is politically unstable and may also change government in the upcoming election.

- Could you discuss ways a local company JV would help manage political risks?

[Sub task (3b) – 20%]

Lastly, the freshwater concerns (a sustainability issue) would be 'technically' addressed by the DLE plant. However, to adequately staff the project, the HR director believes staff need sustainability training, but the Production Director disagrees (see attachment).

- Could you evaluate the need for sustainability training and provide a clear recommendation?

[Sub task (3c) – 20%]

I'll need the information in a briefing note for a Board meeting.

Many thanks,
Martin

Reference Material:

Email Attachment – Extract of the Board’s Discussion on Training

CEO (Shaista)	“The DLE plant project proposal is progressing well. The DLE method would help resolve the freshwater issues.”
HR Director (Cecilia)	“The Drylandian local community’s freshwater concerns highlight the need for greater ethical and social consciousness for staff that would work on the DLE plant project and for staff on other projects. “
Chair (Iresh)	“Yes, Corporate Social Responsibility (CSR) does seem to be a running theme across all our projects.”
HR Director (Cecilia)	“I would suggest a company-wide external 2-day course on sustainability, aimed at 100 key staff (including directors and management). It would cost P\$1,500 per person per day.”
Production Director (Andrey)	“This would be a waste of money as sustainability was irrelevant to most operational managers as well as requiring staff to be away from work. The disruption would cost P\$125 per person per day.”
HR Director (Cecilia)	“This just shows that CSR, of which sustainability is an aspect, is not being taken seriously enough! This skills gap could threaten the success of the potential DLE plant project as well as other projects as our staff could inadvertently upset key stakeholders.”
FD (Martin)	“Training costs and non-financial considerations probably need to be weighed up.”

Task 3

Martin Jacobs, CFO, meets you in his office and have this conversation with you.

“Yesterday evening we received this email from Andrey Prokhorov, Production Director - Martin hands you a piece of paper with an email from Andrey Prokhorov printed on it (see reference materials).

We need to move quickly. Professor Iresh Jayawardena has organised an extraordinary meeting for the Board at 7 p.m. today, and he’s asked me to present my thoughts on three key matters.

Please could you spend the day pulling together some briefing notes for me on these three key topics, ready for the Board Meeting?

- Firstly, please **explain what** the Free Cash Flow method of business valuation is, and what are the **advantages and disadvantages** of using it.

[Sub task (a) – 50%]

- Secondly, please **describe what activities** we should undertake to manage the most powerful stakeholders during the acquisition process to maximise their support and agreement?

[Sub task (b) – 30%]

- Thirdly, please explain how the **acquisition** should be reported in our annual Integrated Report.

[Sub task (c) – 20%]

Thanks, and please let me have your thoughts before you go home this evening. “

Reference Material:

Email from Andrey Prokhorov (Production Director) to the BOD of Rotomyne

From: Andrey Prokhorov

To: Professor Iresh Jayawardena and the other Rotomyne directors

Subject: (In Confidence) an opportunity for Rotomyne

I had dinner with a few old friends from Glentown University yesterday, including Dr Krist Novoselic, who knows an awful lot about lithium! He left the university ten years ago to start up a company called Libebcnofne Co that manufactures a machine that can quickly, safely and cheaply separate unprocessed ore into lithium and waste products.

He is still the CEO of the company, but the majority of the company's shares are now owned by a private equity company that is looking to sell. I reckon this might create a fabulous opportunity for Rotomyne to vertically integrate into this part of the lithium mining process quickly, by acquiring Libebcnofne Co!

I know we don't have much experience at Rotomyne of acquiring other companies, but I read a Happy Comic article recently that said there are three key things that companies often get wrong when planning an acquisition, namely:

- Incorrect valuation of the target company in the first place. The article said that the free cash flow method is theoretically the best method to use, despite the problems associated with it.
- Failure to manage the acquisition process to look after powerful stakeholders.
- Insufficient effort to promote the benefits of the acquisition on an ongoing basis. The article suggested using Integrated Reporting here.

So as long as we can avoid these pitfalls, an acquisition of Libebcnofne Co would seem to be a route to success for Rotomyne! Can we talk about this urgently? I'd be happy to have a special Board Meeting as soon as possible. Let's strike while the iron is hot!

All the best. Catch you later.

Andrey